Solution

In the books of Ahmed

Calculation of opening capital

Statement of affairs as on 31st March, 2017

Liabilities	₹	Assets	₹
Bank overdraft	14,000	Cash in hand	800
Creditors	60,000	Stock	12,000
Capital (balancing figure)	**92,800**	Debtors	34,000
		Plant	80,000
		Furniture	40,000
	1,66,800		1,66,800

Calculation of closing capital

Statement of affairs as on 31st March, 2018

Liabilities	₹	Assets	₹	₹
Creditors	72,000	Bank balance		18,000
Capital (balancing figure)	**1,04,000**	Cash in hand		1,500
		Stock		16,000
		Debtors	30,000	
		Less: Provision for doubtful		
		debts @ 5%	1,500	28,500
		Plant	80,000	
		Less: Depreciation	8,000	72,000
		Furniture		40,000
	1,76,000			1,76,000

Statement of profit or loss for the year ending 31st March, 2018

Particulars	₹
Closing capital as on 31.3.2018	1,04,000
Add: Drawings during the year	40,000
	1,44,000
Less: Additional capital introduced during the year	16,000
Adjusted closing capital	1,28,000
Less: Opening capital as on 31.3.2017	92,800
Profit for the year ending 31.3.2018	**35,200**

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